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How Retailers' Recommendation and Return Policies Alter Product Evaluations

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Abstract

This research investigates the interactive effects of retailers' recommendations and return policies on consumers' post-purchase evaluations of products which yield a mixed attribute performance. This article presents an account of the consumers' post-purchase product evaluation process, in which counterfactual thinking plays a central role. Two studies show that consumers' post-purchase evaluations of products, which yield a mixed attribute performance, tend to be more favorable under lenient return policies than under restricted return policies when retailers offer recommendations during the pre-purchase decision-making process, but more favorable under restricted return policies than under lenient return policies when retailers offer no recommendations.
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Introduction

Return policies can benefit firms by signaling the quality of the products or sellers (Bonifield, Cole, and Schultz 2010; Moorthy and Srinivasan 1995), reducing the perceived risks of the purchases (Davis, Gerstner, and Hagerty 1995), coordinating channel members' pricing and inventory decisions (Padmanabhan and Png 1997), eliciting market information from channel members (Arya and Mittendorf 2004), and increasing long-term customer value through increased future purchases (Petersen and Kumar, 2009). However, return policies can increase opportunistic and fraudulent product returns (Harris 2008, 2010; King, Dennis, and McHendry 2007) and increase firms' costs associated with reverse logistics processes (Horvath, Autry, and Wilcox 2005). Return policies also affect consumer welfare, because they affect consumers' total costs of transaction (Chesnokova 2007; Chu, Gerstner, and Hess 1998). Hence, researchers have tried to identify the optimal return policies that maximize firms' profitability under various conditions (Anderson, Hansen, and Simester 2009; Bandyopadhyay and Paul 2010; Gurnani, Sharma, and Grewal 2010; Hess, Chu, and Gerstner 1996; Pasternack 2008; Tsay 2001, 2002).

However, very little research has examined consumers' behavioral or psychological responses to return policies directly. The scarce research, however, does show that lenient return policies can shorten consumers' pre- and post-purchase search and deliberation time, influence their pre- and post-purchase product evaluations positively in catalog purchase contexts (Wood 2001), and increase intentions to complain (Huppertz 2007). Of these, the finding that lenient return policies can lead to more favorable post-purchase product evaluations (Wood 2001) is particularly interesting, because it contradicts what dissonance theory (Festinger 1957) predicts. Pointing to a few particular characteristics of catalog purchase contexts, Wood (2001) explained the finding based on the signaling effect (Moorthy and Srinivasan 1995), the endowment effect (Kahneman, Knetsch, and Thaler 1990; Strahilevitz and Loewenstein 1998), and confirmatory bias (Deighton 1984). That is, because consumers cannot directly examine the products before making catalog purchases, they use the leniency in return policies as a signal for higher product quality. Then, the delays between the purchase, receipt, and consumption of products in catalog purchase

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contexts enable the endowment effect, which biases the product evaluations positively, to occur during the waiting periods. Finally, these preexisting positive evaluations are likely to be confirmed by consumers after actual consumption, if product performance is ambiguous (Wood 2001).

However, when product performance unambiguously disconfirms pre-purchase expectations (i.e., product performance is clearly below expectations), confirmatory bias in the post-purchase product evaluation is less likely to occur (Hoch and Ha 1986), especially when there are no significant delays, which enable the endowment effect, between the purchase, receipt, and consumption of the products. Then, a consumer will experience dissonance as a result of the discrepancy between their expectations and the product's performance. Dissonance theory (Festinger 1957) suggests that, in this case, consumers will resolve dissonance by changing their behavior (i.e., returning the products), without changing their cognition (i.e., post-purchase product evaluations). However, if restricted return policies make returning the products difficult, consumers will adjust their cognition (i.e., product evaluations) so that it will be more consistent with their behavior of keeping the products. Therefore, post-purchase product evaluations will be more favorable under restricted return policies than under lenient return policies. Yet, to the best of the authors' knowledge, no empirical study has tested this effect.

Hence, the main goal of this research is to empirically examine how retailers' return policies affect consumers' post-purchase product evaluations when product performance unambiguously disconfirms the pre-purchase expectations. In particular, this research focuses on situations where products yield a mixed attribute performance (i.e., a product performs positively on some attributes but negatively on other attributes), because consumers are more likely to experience dissonance and, thus, return policies become more salient and relevant to consumers in these situations than when a product performs either positively or negatively on all attributes. Moreover, it is common for products to yield this type of mixed attribute performance.

In addition, this research examines how retailers' recommendation policies (i.e., whether retailers advise consumers that they purchase particular products or not) moderate the effects of return policies on consumers' post-purchase product evaluations. Studying the moderating effect of recommendations is relevant for the following reasons: first, many retailers offer recommendations as an integral part of their customer communication (Baier and Stüber 2010; Shankar et al. 2011), and studies show that consumers tend to purchase the recommended products (Baier and Stüber 2010; Senecal and Nantel 2004). Second, retailers' recommendations can influence the locus of consumers' attribution of the product performance, and it is shown that attribution influences product evaluations (Folkes 1984; Weiner 2000).

To these ends, this article presents an account of the post-purchase product evaluation process in which counterfactual thinking plays a central role. This article then develops hypotheses about the interactive effects of retailers' recommendation and return policies on consumers' post-purchase counterfactual thinking and product evaluations, based on the proposed account. It then reports the findings of two empirical studies and discusses their theoretical contributions and managerial implications.

Post-purchase evaluation and counterfactual thinking

The extensive extant literature indicates that consumers evaluate their product experiences by comparing the perceived product performance against various comparison standards (Oliver 2010). Norm theory (Kahneman and Miller 1986) posits that these comparison standards, or norms, which often represent unrealized alternative versions of an event (i.e., what the event would, should, could, or might have been), are selectively recruited in direct response to the event after experiencing the event. Kahneman and Tversky (1982) termed these unrealized alternative versions of a factual event as "counterfactuals" and the mental activity of recruiting counterfactuals as "counterfactual thinking." Therefore, the process of selectively recruiting comparison standards against which product performance is evaluated after a consumption experience can be considered as counterfactual thinking. Counterfactual thinking basically consists of two cognitive activities: (1) attribution, in order to identify causal antecedents to a factual event and (2) mental simulation, in order to construct unrealized alternative events by altering the identified causal antecedents (Roese and Olson 1995). Hence, attribution determines the semantic content of the recruited counterfactuals (i.e., what alternative events are brought about and how) and, thus, plays an important role in determining consumers' post-purchase product evaluations. The effects of attribution on product evaluations are well documented in the consumer behavior literature (Folkes 1984; Weiner 2000).

Regarding what particular counterfactuals are recruited in response to the perceived product performance, norm theory (Kahneman and Miller 1986) and the functional theory of counterfactual thinking (Epstude and Roese 2008; Roese 1994) provide different but complementary insights. On the one hand, norm theory views counterfactual thinking as a spontaneous and associative process over which one does not have complete voluntary control and is largely triggered by the unexpectedness of an event (Kahneman and Miller 1986). Spontaneous counterfactual thinking is considered to be one's instinctive reaction to the dissonance caused by unexpected events that violate one's implicit understanding of causality between events and, hence, tends to focus on restoring the causality of events (Gavanski and Wells 1989). Therefore, spontaneous counterfactual thinking occurs more often after unexpected or abnormal events than after expected or normal events, and it tends to focus on how the expected or normal events might have occurred (Kahneman and Miller 1986). Because one usually expects positive outcomes rather than negative outcomes when engaging in conscious decisions or actions, norm theory suggests that spontaneous counterfactual thinking is more likely to occur after negative events than after positive events, and it tends to recruit those counterfactuals which mentally undo the negative events or produce the expected positive outcomes. The empirical studies of counterfactual thinking have provided evidence that is

consistent with this reasoning (Gavanski and Wells 1989; Kahneman and Miller 1986; Landman 1987).

On the other hand, the functional theory of counterfactual thinking recognizes that one can deliberately and strategically recruit particular counterfactuals to achieve certain goals (Epstude and Roese 2008; Roese 1994). Consistent with this view, studies have shown that people deliberately recruit *upward* counterfactuals (i.e., counterfactuals about how better alternative outcomes could have been achieved) to achieve better outcomes in the future when they expect to perform similar tasks in the near future (Lockwood 2002; Markman et al. 1993). Studies have also shown that people deliberately recruit *downward* counterfactuals (i.e., counterfactuals about how the outcomes could have been worse) to alleviate the unpleasant emotions that negative events evoke, especially when the events are internally attributed and evoke self-directed unpleasant emotions, such as regret, guilt, or shame (Roese and Hur 1997; Sanna, Meier, and Turley-Ames 1998).

Once recruited in either way, counterfactuals influence one's evaluation of an event through contrast effect (McGill 2000; Roese and Olson 1995). That is, a given outcome or event is evaluated more unfavorably if upward counterfactuals are recruited, and more favorably if downward counterfactuals are recruited. Empirical studies have demonstrated the contrast effects of counterfactual thinking on regret and satisfaction with products (Tsiros and Mittal 2000; van Dijk and Zeelenberg 2005; Walchli and Landman 2003).

Integrating the reviewed literature, this article presents an account of the consumers' post-purchase product evaluation process as follows: (1) consumers evaluate products by comparing the perceived product performance against certain comparison standards; (2) comparison standards are selectively recruited in direct response to the perceived performance; (3) these comparison standards often represent counterfactual outcomes; (4) negative or otherwise unexpected product performance evokes dissonance more often; (5) experience of dissonance triggers spontaneous comparison standards recruitment; (6) because resolving dissonance by mentally undoing unexpected events is its main motivation, spontaneous comparison standards recruitment tends to recruit upward counterfactuals; (7) if the negative product performance is attributed internally, it evokes self-directed negative emotions; (8) then, consumers may deliberately recruit other comparison standards in order to alleviate the negative emotions; (9) therefore, deliberately recruited comparison standards tend to be downward counterfactuals; (10) the contrasts between the perceived product performance and the recruited counterfactuals affect the post-purchase product evaluations; (11) deliberately recruited counterfactuals are weighed more heavily than spontaneously recruited upward counterfactuals in the comparison process. Fig. 1 depicts the process.

Effects of retailers' recommendations and return policies

Based on the theoretical account, this section develops hypotheses about the interactive effects of retailers' recommendations and return policies on consumers' post-purchase counterfactual thinking and product evaluations. Retailers' return policies affect post-purchase counterfactual thinking by impacting the reversibility of consumers' purchases and their outcomes. A purchase and its outcomes (i.e., product performance) are less reversible under restricted return policies than under lenient return policies. While the reversibility of positive product performance may not concern consumers much, the reversibility of negative product performance concerns consumers in most occasions. Incidentally, studies show that the negative events are deemed even more negative when they are irreversible than when they are reversible (Tsiros and Mittal 2000). Moreover, the negative performance of products purchased under restricted return policies can be deemed even more unexpected, because consumers tend to deliberate more carefully before making purchases under restricted return policies than under lenient return policies (Wood 2001).

While restricted return policies can make the negative product performance seem more unexpected and more negative, the unexpectedness and the negativity of events increase the likelihood that spontaneous counterfactual thinking will occur (Gavanski and Wells 1989; Kahneman and Miller 1986). Moreover, the spontaneous counterfactual thinking that follows negative events tends to recruit upward counterfactuals, which focus on how the negative events could have been avoided or how better events might have occurred (Gavanski and Wells 1989; Kahneman and Miller 1986; Landman 1987). Therefore, when products yield a mixed attribute performance, spontaneous counterfactual thinking, which tends to recruit upward counterfactuals, is more likely to occur when restricted return policies make the performance irreversible than when lenient return policies make the performance reversible. Hence,

H1. More upward counterfactuals will be recruited under restricted return policies than under lenient return policies.

Retailers' return policies may also influence the likelihood that consumers engage in deliberate counterfactual thinking when products yield a mixed attribute performance. While lenient return policies allow consumers to resolve dissonance caused by the negative product performance easily by returning the products, restricted return policies make doing so difficult. Therefore, consumers are likely to be motivated to modify their product evaluations, which may be ambivalent due to the observed mixed attribute performance, in order to make them more consistent with their actions of keeping the products under restricted return policies. Therefore, consumers are more likely to deliberately recruit downward counterfactuals, which focus on how things could have been worse and help them make their product evaluations more favorable, under restricted return polices than under lenient return policies.

However, retailers' recommendations are expected to moderate the likelihood that consumers will engage in deliberate counterfactual thinking under restricted return policies, by influencing the locus of consumers' attribution of the purchases and their outcomes. When retailers do not offer any recommendations during the pre-purchase phase, consumers are likely to attribute the purchases and their negative outcomes to their own

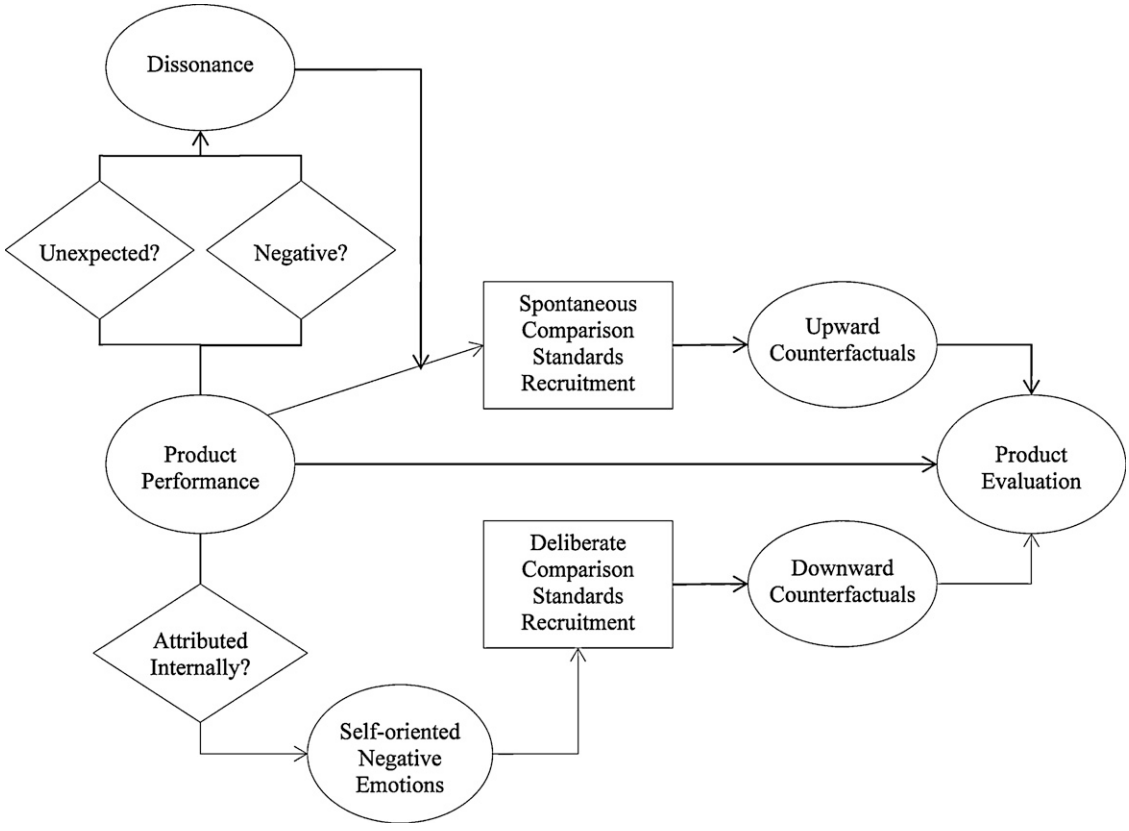


Fig. 1. Post-purchase counterfactual thinking process.

poor decisions, in the absence of other salient external factors. Then, consumers are likely to experience self-directed unpleasant emotions, like regret or shame (Weiner 2000). The functional counterfactual thinking literature indicates that consumers are particularly likely to engage in deliberate counterfactual thinking in order to recruit downward counterfactuals in these circumstances (Epstude and Roese 2008; Sanna, Meier, and Turley-Ames 1998).

In contrast, when retailers offer recommendations during the pre-purchase phase, consumers can attribute their purchases and their outcomes to the retailers' poor recommendations, rather than to their own poor decisions. The attribution literature documents this tendency to attribute negative outcomes externally, rather than internally (Zuckerman 1979). In these cases, consumers will be able to displace the dissonance they are experiencing onto the retailers by blaming their poor recommendations. Then, consumers are less likely to experience self-directed unpleasant emotions (Weiner 2000). Hence, they are less likely to engage in deliberate counterfactual thinking in order to recruit downward counterfactuals, even if their purchases and the negative product performance are irreversible due to the restricted return policies. Therefore, when products yield a mixed attribute performance, consumers are more likely to engage in the deliberate recruitment of downward counterfactuals when retailers do not offer recommendations and implement restricted return policies than when they implement the other combinations of the recommendations and return policies. Hence,

H2a. More downward counterfactuals will be recruited under no recommendation and restricted return policies than under no recommendation and lenient return policies.

H2b. More downward counterfactuals will be recruited under no recommendation and restricted return policies than under recommendations and lenient return policies.

H2c. More downward counterfactuals will be recruited under no recommendation and restricted return policies than under recommendations and restricted return policies.

Since counterfactuals influence one's evaluation of an event through the contrast effect (McGill 2000; Roese and Olson 1995), consumers' post-purchase product evaluations will become less favorable when the product's performance is compared with upward counterfactuals but more favorable when it is compared with downward counterfactuals. Because more upward counterfactuals are expected to be recruited under restricted return policies than under lenient return policies when products yield a mixed attribute performance, consumers' post-purchase evaluations of these products are expected to be less favorable under restricted return policies than under lenient return policies.

However, when retailers offer no recommendation and implement restricted return policies, consumers may also recruit downward counterfactuals deliberately to alleviate the self-directed negative emotions that the negative product performance evokes. Then, the upward and downward counterfactuals

conflict with one another in terms of their implications on the product evaluations. In these cases, studies show that people tend to weigh the thoughts that are volitional or helpful for goal achievement more heavily than the thoughts that are spontaneous or distracting for goal achievement (Klinger 1978; Kunda 1990). As discussed earlier, in the context of counterfactual thinking in response to negative product performance, the downward counterfactuals are volitional thoughts that are instrumental in alleviating the negative emotions the internally attributed negative product performance evokes. However, the upward counterfactuals are spontaneous thoughts that are distracting for managing the emotions. Hence, consumers are expected to weigh the contrasts with the downward counterfactuals more heavily than those with the upward counterfactuals during the post-purchase product evaluation process, leading to more favorable product evaluations. Hence,

H3a. When retailers offer recommendations, post-purchase product evaluation will be less favorable under restricted return policies than under lenient return policies.

H3b. When retailers offer no recommendation, post-purchase product evaluation will be more favorable under restricted return policies than under lenient return policies.

Study 1: Scenario-based experiment

Methods

Sample and procedures

A total of 128 undergraduate students enrolled in a core business course at a large university in the southeast region participated in the study. The participants were randomly assigned to one of the four conditions of a 2(lenient vs. restricted return policy) × 2(no recommendation vs. a salesperson's recommendation) between-subject design experiment. Before reading the scenario, the participants were instructed to try to think as if they were the focal person in the scenario and to try to vividly imagine the situation depicted in the scenario. The participants were also instructed to write down the thoughts or feelings that occurred to them while they were reading the scenario on a separate sheet of paper. Then, the participants read the scenarios, writing down their thoughts. Finally, the participants completed the questionnaire, measuring the evaluation of the focal product and the manipulation checks.

The scenario involved a hypothetical purchase of a dress suit for upcoming job interviews. A pretest indicated that this situation presents a relevant ($M = 8.3$, $SD = 1.1$) and involving ($M = 6.8$, $SD = 2.3$) task environment for the participants. The pretest measured the perceived relevance and involvement with nine-point scales. The scenario referred to the focal person as "you" to help the participants empathize with the focal person. The scenario depicted the focal person shopping for a dress suit to wear for upcoming job interviews. The scenario stated that the focal person was choosing between two particular suits, A and B. The two suits were described to be from the same brand and priced the same, but had some tradeoffs on other attributes. The scenario manipulated the return policy leniency by stating "the store will accept returns for any reason" (lenient return policy) or "the store will accept returns only if the suit is defective" (restricted return policy). The scenario manipulated the retailer's recommendation by stating "a salesperson approaches you. The salesperson recommends that suit B may be a better investment in the long run because it will work better for daily use after the interviews. Finally, you decide to buy suit B following the recommendation" (recommendation) or "a salesperson approaches you. The salesperson advises you to consider the long-term use of the suits, and you decide that suit B is a better investment in the long run because it will work better for daily use after the interviews. Finally, you decide to buy suit B" (no recommendation). Then the scenario presented the mixed attribute performance of the dress suit by stating "you like its style and its cut makes you feel quite comfortable in it. However, you now think that the color of the suit doesn't look as nice as it looked in the store and the fabric doesn't feel as soft as you thought in the store." Appendix A shows the scenario for the restricted return policy and recommendation condition.

Measures

The participants' written verbal protocols were coded by two graduate students who were unaware of the hypotheses. They worked independently to identify the upward and downward counterfactuals and to count the number of each type of the counterfactuals. Based on the conceptual definition of counterfactuals (Kahneman and Tversky 1982) and their typical syntax (Roese and Olson 1995), the coders identified the thoughts that were in variable forms of the basic syntax of "if . . . have . . ., then . . . might (could, would, or should) have . . ." The thoughts were then classified as upward counterfactuals if they referred to unrealized better alternative outcomes and as downward counterfactuals if they referred to unrealized worse alternative outcomes. In addition, the two coders were instructed to code semifactuals, in which alternative unrealized antecedent actions or decisions still produce the same factual outcomes (i.e., "it would have been the same . . . even if . . . had . . ") as downward counterfactuals, because they have the same effects on the evaluation of an event as downward counterfactuals (Roese and Olson 1995). The initial inter-coder agreement rate was 93 percent, and the discrepancy was resolved through discussions between the two coders.

The post-purchase evaluation of the purchased dress suit was measured by three nine-point Likert scale items ($\alpha = .87$): "The suit is a good dress suit," "I'm happy with my new suit," and "Overall, the dress suit is of high quality." A single nine-point Likert scale item, "My purchase decision was greatly influenced by a salesperson's recommendation," was used as the manipulation check for recommendation. Another single nine-point Likert scale item, "I can easily return the suit if I don't like it," was used as the manipulation check for return policy leniency. A single nine-point Likert scale item, "The dress suit choice resulted in some good outcomes and some bad outcomes," was used to see if the scenarios created the perception of mixed attribute performance. Single-item scales were used for manipulation checks because return policy leniency, presence or absence of recommendation, and mixed attribute performance

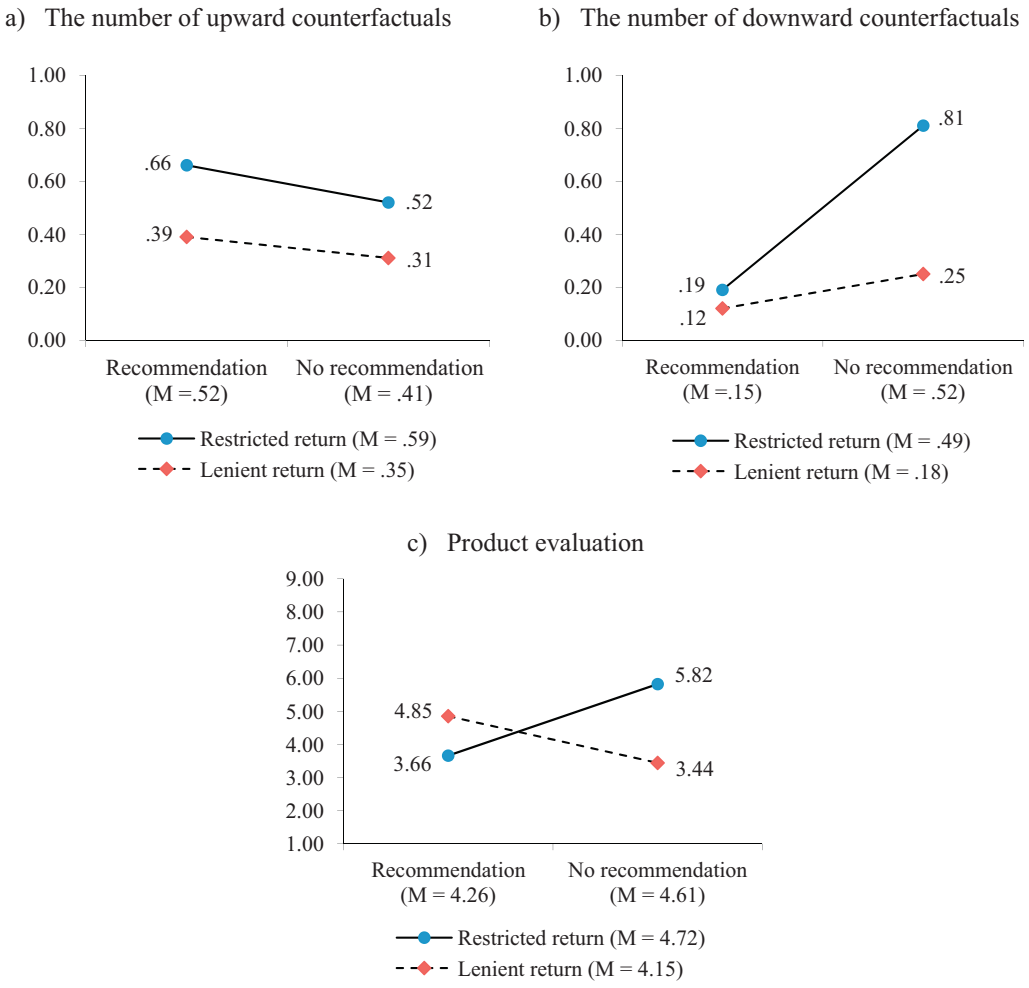


Fig. 2. The means of the dependent variables in Study 1.

are simple concrete constructs, which do not require multiple-item scales for measurement (Bergkvist and Rossiter 2007).

Results

Manipulation checks

Overall, the participants agreed that the dress suit purchase resulted in some good outcomes and some bad outcomes ($M = 8.2$, $SD = 1.1$) and no significant difference was found between any of the conditions, indicating the successful creation of a mixed attribute performance context. The mean rating of the recommendation manipulation check was significantly higher ($t(126) = 6.08$, $p < .001$) for the recommendation condition ($M = 6.2$, $SD = 1.9$) than for the no recommendation condition ($M = 3.9$, $SD = 2.3$). The mean rating of the return policy leniency manipulation check was significantly higher ($t(125.5) = 6.34$, $p < .001$) for the lenient return policy condition ($M = 6.0$, $SD = 2.6$) than for the restricted return policy condition ($M = 3.2$, $SD = 2.4$). These results indicate the successful manipulation of the independent variables.

The number of upward counterfactuals

A total of 66 upward counterfactuals recruited by a total of 57 participants were identified. Fig. 2a shows the average numbers of upward counterfactuals recruited in the four conditions. The analysis of variance (ANOVA) results, shown in Table 1,

Table 1
F-stats from ANOVA in Study 1.[a]

Factor	Dependent variables		
	Number of upward counterfactuals	Number of downward counterfactuals	Product evaluation
Return policy	4.51 (.036)	8.90 (.003)	2.38 (.125)
Recommendation	1.02 (.314)	12.82 (.000)	.83 (.364)
Return policy × Recommendation	0.07 (.790)	5.51 (.020)	20.07 (.000)

[a] *p*-Values in parentheses.

revealed a significant main effect of the return policy ($F(1, 124) = 4.51$, $p = .036$), such that more upward counterfactuals were recruited in the restricted return policy condition ($M = .59$, $SD = .63$) than in the lenient return policy condition ($M = .35$, $SD = .59$), supporting Hypothesis 1. No other significant effect was found.

The number of downward counterfactuals

A total of 50 downward counterfactuals recruited by 39 participants were identified. Fig. 2b shows the average numbers of downward counterfactuals recruited in the four conditions. The ANOVA results, shown in Table 1, revealed significant main effects of return policy leniency ($F(1, 124) = 8.90$, $p = .003$) and recommendation ($F(1, 124) = 12.82$, $p < .001$), as well as a significant interaction effect ($F(1, 124) = 5.51$, $p = .020$). Further examination of the interaction effect revealed that more downward counterfactuals were recruited ($t(42.1) = 2.98$, $p = .005$) in the no recommendation and restricted return policy condition ($M = .81$, $SD = .95$) than in the no recommendation and lenient return policy condition ($M = .25$, $SD = .44$), supporting Hypothesis 2a. Likewise, more downward counterfactuals were recruited ($t(36.9) = 3.82$, $p < .001$) in the no recommendation and restricted return policy condition ($M = .81$, $SD = .95$) than in the recommendation and lenient return policy condition ($M = .12$, $SD = .33$), supporting Hypothesis 2b. Finally, more downward counterfactuals were recruited ($t(43.7) = 3.27$, $p = .002$) in the no recommendation and restricted return policy condition ($M = .81$, $SD = .95$) than in the recommendation and restricted return policy condition ($M = .19$, $SD = .47$), supporting Hypothesis 2c.

Product evaluation

The means of the post-purchase product evaluations for the four conditions are shown in Fig. 2c. The ANOVA results, shown in Table 1, revealed a significant interaction effect ($F(1, 124) = 20.07$, $p < .001$). Further examination of the interaction revealed that the post-purchase product evaluation was significantly less favorable ($t(63) = 2.01$, $p = .049$) in the restricted return policy condition ($M = 3.7$, $SD = 2.2$) than in the lenient return policy condition ($M = 4.9$, $SD = 2.6$) when a recommendation was offered, supporting Hypothesis 3a. However, the evaluation of the suit was significantly more favorable ($t(51.4) = 4.25$, $p < .001$) in the restricted return policy condition ($M = 5.8$, $SD = 2.4$) than in the lenient return policy condition ($M = 3.4$, $SD = 1.7$) when no recommendation was offered, supporting Hypothesis 3b.

Discussion

The findings supported all the hypotheses about consumers' post-purchase counterfactual thinking and product evaluations. However, very few counterfactuals were recorded in Study 1, maybe because the experimental scenarios' silence about other circumstantial factors constrained the participants' ability to recruit counterfactuals. Since people cannot construct counterfactuals easily by altering the aspects of factual events that are unknown to them (Seelau et al. 1995), the participants in past scenario-based counterfactual thinking studies seldom recruited counterfactuals that altered the antecedents not mentioned in the scenarios (Kahneman and Tversky 1982; Seelau et al. 1995).

In addition, while Study 1's setting pertains to post-purchase evaluations immediately after the purchases, post-purchase evaluations can occur over an extended time horizon, as many products, such as cars, clothes, and electronics, are used repeatedly over time. Moreover, consumers occasionally reevaluate their past consumption experiences after an extended period of time if they have to make similar purchases at a later time. In these situations, the literature suggests that consumers may use different counterfactual thinking processes from the ones they use immediately after the purchase or the initial consumption (Davis and Lehman 1995; Gilovich and Medvec 1994).

For these reasons, the studies of counterfactual thinking involving autobiographical recalled events and the studies of counterfactual thinking involving similar scenario-based events may yield different findings (Gilovich and Medvec 1994). Therefore, it is necessary to examine whether the effects found in Study 1 can be replicated with real-life purchase episodes which involve product evaluations over extended time horizons.

Study 2: Recalled episodes study

Considering the limitation of the scenario-based Study 1 and the possible changes in counterfactual thinking about an event over time, Study 2 tests the hypotheses again with real-life purchase episodes recalled after an extended period of time. With regard to how a consumer's counterfactual thinking about a consumption experience may alter over time, there are two possibilities. First, the endowment effect (Kahneman, Knetsch, and Thaler 1990; Strahilevitz and Loewenstein 1998) suggests that consumers may become more attached to the products they own over time, thereby becoming more strongly motivated to recruit downward counterfactuals when evaluating their negative performance. Second, consumers may become detached from their own past purchase decisions over time, thereby becoming less motivated to recruit downward counterfactuals when evaluating the negative performance of the products they purchased. By examining counterfactual thinking about real-life purchase episodes recalled after varying time horizons, Study 2 explores in which of the two directions consumers' counterfactual thinking about their consumption experiences and the resulting product evaluations alter over time.

Methods

Sample and procedures

A total of 255 undergraduate students, enrolled in business programs at two large universities, participated in Study 2. Ninety-seven participants were students at a university in the mid-western region and 158 participants were students at a university in the southeastern region. The participants were randomly given one of the four versions of the questionnaire, which contained the instructions for the purchase episode recall task. The recall task instructions asked the participants to recall a product or service they had purchased about a month to a

year before the date of the study. Each version of the recall task instructions contained a particular set of three additional criteria the recalled purchase episodes must meet. The three additional criteria served as the manipulation of the return policy ("You were able to and did return the product because of a lenient return policy" or "You were not able to return the product because of a restricted return policy"), the recommendation ("You purchased it based on your own decision" or "You purchased it based on the recommendation by a salesperson"), and the mixed attribute performance ("The products or services must have yielded some good outcomes that you liked and some bad outcomes that you disliked"). The participants were then instructed to describe the purchase incidents in detail with respect to a series of open-ended questions. Next, the participants were asked to write down their thoughts in response to the following two questions: "What do you think about the product right now?" and "In retrospect, do you think that you might have had a different result with your purchase had anything during the course of the events that you just described been different? How?" Appendix B shows the instruction for the recall of a purchase episode where a retailer offered no recommendation and had a lenient return policy.

Then, the participants completed a questionnaire measuring the product evaluation, manipulation checks, and three covariates. The three covariates were the degree of expectancy violation by the product performance, the time lag between the purchase and the recall, and the number of alternatives considered before the purchase. The degree of expectancy violation by the product performance was used as a covariate because the unexpectedness of an outcome is a key determinant of spontaneous counterfactual thinking (Kahneman and Miller 1986; Roese and Olson 1995). The time lag between the purchase and the recall was used as a covariate because counterfactual thinking about a life event is shown to change over time (Gilovich and Medvec 1994). Lastly, the number of alternatives considered before the purchase was used as a covariate because it may affect the number of counterfactuals readily available to consumers (Roese and Olson 1995).

Measures

The measures of the post-purchase product evaluation, the manipulation checks, and the procedure used to code the verbal protocols were the same as those used in Study 1. The degree of expectancy violation by the outcome was measured using a single nine-point Likert scale item: "The product did not perform as well as expected." The time lag between the purchase and the recall was measured by asking the participants approximately how many months ago the purchase had occurred. The number of alternatives considered was measured by asking the participants approximately how many alternatives they had considered before they made the purchase.

Results

Nine participants who did not complete the whole task were excluded from the analyses. Another seven participants who recalled purchases of food products were excluded from the analyses because they disproportionately belonged to a single condition (no recommendation and restricted return). The remaining 239 participants recalled purchases involving various categories of products shown in Table 2. Cross-tabulation of the product categories and the conditions indicated that there was no systematic association between them ($\chi^2(18) = 25.21$, $p = .119$). This indicates that any differences in the dependent variables we find between conditions are not likely to be the result of the differences in the products recalled for each condition.

Manipulation checks

Participants recalled purchase incidents that occurred at least one month (average 8.4 months) prior to the study. This indicates that the recalled episodes provided the targeted context, where post-purchase product evaluations over extended time horizons could be examined. The participants agreed that the products purchased in the recalled episodes yielded some good outcomes and some bad outcomes ($M = 6.8$, $SD = 2.1$) and no significant difference was found between any conditions. The mean rating of the return policy leniency manipulation check was significantly higher ($t(225.9) = 16.90$, $p < .001$) among the participants who recalled the episodes with lenient return polices ($M = 7.0$, $SD = 2.2$) than among the participants who recalled the episodes with restricted return policies ($M = 2.5$, $SD = 1.8$). The mean rating of the recommendation manipulation check was significantly higher ($t(237) = 7.73$, $p < .001$) among the participants who recalled the episodes with salespersons' recommendations ($M = 5.9$, $SD = 2.4$) than among the participants who recalled the episodes with no recommendations ($M = 3.6$, $SD = 2.1$). These results indicate that the recall task instructions successfully solicited the purchase episodes that satisfied the criteria given in each version of the instructions.

The number of upward counterfactuals

A total of 218 upward counterfactuals recruited by 147 participants were identified. Fig. 3a shows the average numbers of upward counterfactuals recruited in the four conditions. The ANCOVA results, shown in Table 3, revealed a significant main effect of the return policy ($F(1, 232) = 15.28$, $p < .001$), such that more upward counterfactuals were recruited by the participants who recalled the episodes with restricted return policies ($M = 1.18$, $SD = .90$) than by the participants who recalled the episodes with lenient return policies ($M = .63$, $SD = .73$), supporting Hypothesis 1. In addition, the number of alternatives considered had a positive effect ($F(1, 232) = 9.56$, $p = .002$; $b = .04$).

The number of downward counterfactuals

A total of 90 downward counterfactuals recruited by 72 participants were identified. Fig. 3b shows the average numbers of downward counterfactuals recruited in the four conditions. The ANCOVA results, shown in Table 3, revealed a significant interaction effect between the two variables ($F(1, 232) = 31.10$, $p < .001$), as well as significant main effects of the return policy ($F(1, 232) = 41.83$, $p < .001$) and the recommendations ($F(1, 232) = 22.97$, $p < .001$). Further examination of the interaction effect revealed that more downward counterfactuals were recruited ($t(73.9) = 8.61$, $p < .001$) by the participants who

Table 2
The products recalled in each condition.[a]

Product category	Condition				Total
	Recommendation		No recommendation		
	Restricted return	Lenient return	Restricted return	Lenient return	
Clothes & fashion items	22	30	20	26	98
Electronics & appliances	20	12	15	18	65
Computer & accessories	8	6	9	8	31
Sports & recreations	7	1	7	3	18
Service contracts	3	5	5	0	13
Personal & home care	3	3	0	2	8
Vehicles	0	3	3	0	6
Total	63	60	59	57	239

[a] Pearson $\chi^2(18) = 25.21$, $p = .119$.

recalled the episodes with no recommendation and restricted return policies ($M = 1.02$, $SD = .78$) than by those who recalled the episodes with recommendations and lenient return policies ($M = .15$, $SD = .36$), supporting Hypothesis 2a. Likewise, more downward counterfactuals were recruited ($t(81.5) = 7.79$, $p < .001$) by the participants who recalled the episodes with no recommendation and restricted return policies ($M = 1.02$, $SD = .78$) than by those who recalled the episodes with recommendations and lenient return policies ($M = .15$, $SD = .36$), supporting Hypothesis 2b. Finally, more downward counterfactuals were recruited ($t(90.3) = 6.62$, $p < .001$) by the participants who recalled the episodes with no recommendation and restricted return policies ($M = 1.02$, $SD = .78$) than by those who recalled the episodes with recommendations and restricted

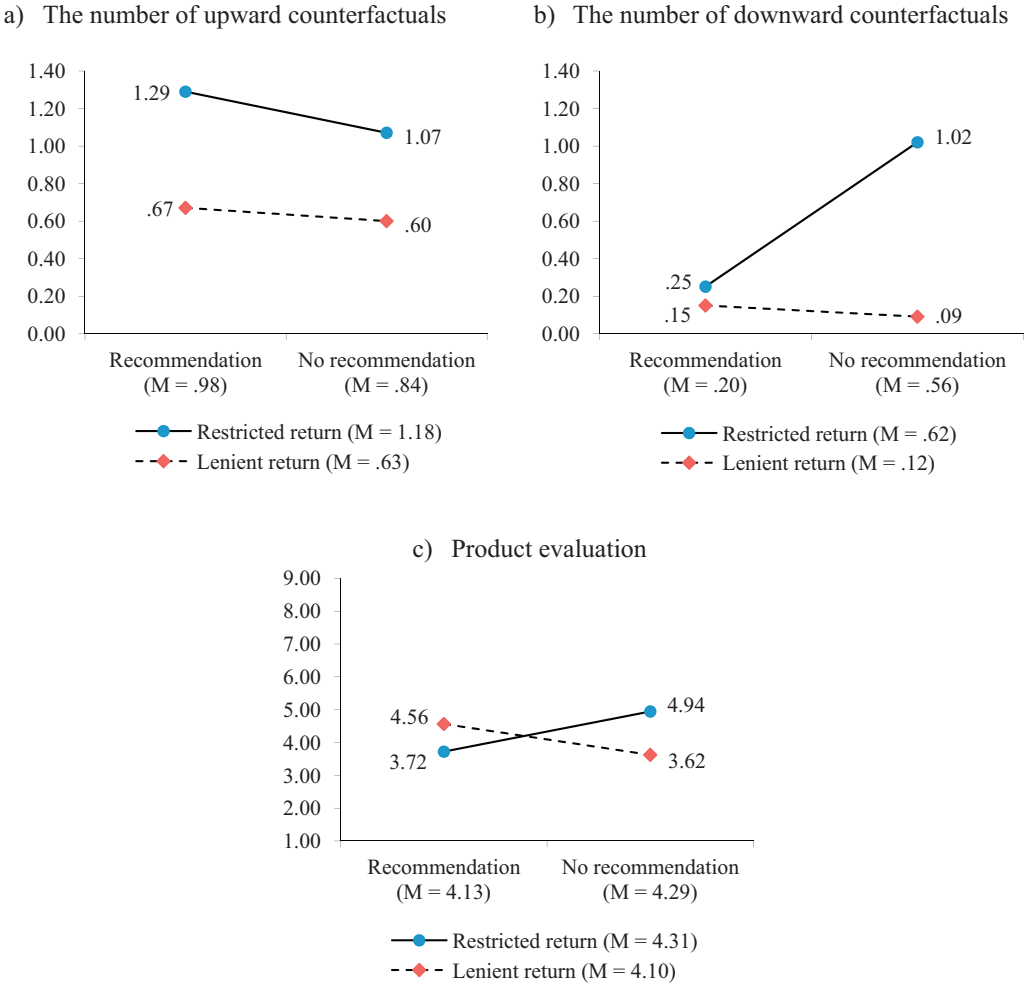


Fig. 3. The means of the dependent variables in Study 2.

Table 3
F-stats from ANCOVA in Study 2.[a]

Factor	Dependent variables		
	Number of upward counterfactuals	Number of downward counterfactuals	Product evaluation
Return policy	15.28 (.000)	41.83 (.000)	.07 (.798)
Recommendation	1.86 (.174)	22.97 (.000)	.02 (.888)
Return policy × Recommendation	.74 (.391)	31.10 (.000)	13.76 (.000)
Expectancy violation	.34 (.562)	1.57 (.209)	2.02 (.157)
Time lag between the purchase and the recall	.60 (.439)	23.24 (.000)	5.65 (.018)
Number of alternatives considered	9.56 (.002)	3.51 (.062)	.50 (.478)

[a] *p*-Values in parentheses.

return policies ($M = .25$, $SD = .44$), supporting Hypothesis 2c. Additionally, the time lag between the purchase and the recall had a positive effect ($F(1, 232) = 23.24$, $p < .001$; $b = .02$).

Product evaluation

The means of the post-purchase product evaluations for the four conditions are shown in Fig. 3c. The ANCOVA results, shown in Table 3, revealed a significant interaction effect between the return policy and the recommendation ($F(1, 232) = 13.76$, $p < .001$). Further examination of the interaction revealed that the post-purchase product evaluation was significantly less favorable ($t(121) = 2.29$, $p = .024$) among the participants who recalled the episodes with restricted return policies ($M = 3.7$, $SD = 1.9$) than among those who recalled the episodes with lenient return policies ($M = 4.6$, $SD = 2.1$), when the recalled episodes involved salespersons' recommendations, supporting Hypothesis 3a. However, post-purchase product evaluation was significantly more favorable ($t(114) = 3.38$, $p = .001$) among the participants who recalled the episodes with restricted return policies ($M = 4.9$, $SD = 2.0$) than among those who recalled the episodes with lenient return policies ($M = 3.6$, $SD = 2.2$), when the recalled episodes involved no recommendation, supporting Hypothesis 3b. Additionally, the time lag between the purchase and the recall had a positive effect ($F(1, 232) = 5.65$, $p = .018$; $b = .03$).

Discussion

The findings supported all the hypotheses regarding the effects of retailers' return policies and recommendations on post-purchase counterfactual thinking and product evaluations again. The hypothesized effects were significant even with product category as an additional factor in the model. Together with the results of Study 1, the findings indicate that the hypothesized effects of retailers' recommendations and return policy leniency on post-purchase counterfactual thinking and product evaluations apply to both: (1) immediately after the purchase when a product is brought back home and (2) extended post-purchase periods during which the product may be used repeatedly.

In addition, Study 2 found positive effects of the time lag between the purchase and the recall on the number of downward counterfactuals and product evaluations. These findings indicate that consumers' counterfactual thinking about their purchase experiences and their evaluations of the purchased products become more favorable over time, as the endowment effect predicts. These findings suggest that restricted return policies, which make consumers to keep the products despite their initial mixed performance, may benefit retailers not only by preventing returns but also by leading consumers to evaluate the products more favorably over time.

Conclusion

This research shows that, when products yield a mixed attribute performance, consumers may evaluate the products variably, depending on retailers' recommendations and return policies. Particularly, it shows that consumers may evaluate those products more favorably under lenient return policies than under restricted return policies if retailers offer recommendations during the pre-purchase phases, but may evaluate those products more favorably under restricted return policies than under lenient return policies if retailers offer no recommendations during the pre-purchase phases.

Contributions

This research contributes to the scarce literature on return policies and consumer behavior by empirically demonstrating that restricted return policies may have more positive effects on post-purchase consumer behavior than lenient return policies in certain situations. The extant literature shows that lenient return policies can lead to more favorable post-purchase product evaluations than restricted return policies. However, this positive effect of lenient return policies has been observed only in the limited context of catalog purchases, where consumers' inability to examine the products directly before purchase, the delays between the purchase and consumption, and the ambiguity in the product performance enable the signaling effect, confirmatory bias, and the endowment effect to influence the product evaluations (Wood 2001). In contrast, this research shows that restricted return policies can lead to more favorable post-purchase product evaluations than lenient return policies do when product performance unambiguously disconfirms the pre-purchase expectations on some attributes. To the best of the authors' knowledge, this is the first empirical study that demonstrates this effect of return policies in the particular context where products yield a mixed attribute performance.

The demonstration of the moderating effect of retailers' recommendations, which nullifies the main effect of return policy

on product evaluations, is another contribution. The extant literature has shown that return policies interact with various market conditions to affect firms' profitability (Anderson, Hansen, and Simester 2009; Bandyopadhyay and Paul 2010; Gurnani, Sharma, and Grewal 2010; Hess, Chu, and Gerstner 1996; Pasternack 2008; Tsay 2001, 2002). However, the interactive effects of return policies and another marketing mix variable on consumer behavior, including product evaluations, have not been empirically demonstrated in the literature. While more and more retailers offer product or purchase recommendations as a part of their selling and consumer relationship management activities (Baier and Stüber 2010; Shankar et al. 2011), those recommendations may affect to whom consumers attribute their purchases and their outcomes. Because attribution is a key element of the cognitive post-purchase product evaluation process and counterfactual thinking (Folkes 1984; Roese and Olson 1995; Weiner 2000), retailers' recommendations may affect consumers' post-purchase product evaluations as well. Therefore, studying the effects of retailers' recommendations on post-purchase product evaluations is important.

From a theoretical perspective, the account of the post-purchase product evaluation process proposed in this article has some merits as well. By incorporating counterfactual thinking as a specific cognitive mechanism through which consumers may experience and resolve the dissonance that arises as a result of consumption experiences, the proposed account complements dissonance theory in explaining the consumers' post-purchase evaluation process. This account also complements the extant consumer behavior literature by providing an explicit account of how various theories pertinent to the post-purchase evaluation, such as dissonance theory (Festinger 1957), attribution theory (Weiner 2000), and the comparison paradigm of product evaluation, including the expectancy disconfirmation model (Oliver 2010), are interrelated.

Managerial implications

While many retailers have used lenient return policies because those policies provide various benefits to retailers, some retailers have begun to feel the need to put more restrictions on their return policies to prevent return fraud (Raphel 2004; Wilson 2010). However, they are wary of the negative effects those restrictions may impose on consumers (Hartnett 2010). In this regard, this research provides retailers with another rationale for using restricted return policies. The findings indicate that restricted return policies, which make consumers to keep the products despite their initial mixed performance, may benefit retailers not only by preventing returns but also by leading consumers to evaluate the products more favorably over time.

However, the findings also suggest that various types of retailers will benefit from implementing return policies with different leniency. For example, large department stores and discount stores typically carry limited lines of well-known brands that already command strong consumer preferences and offer effective purchase incentives in the forms of convenient credit policies or lower prices (Schiffman, Dash, and Dillon 1977). Hence, they need not use active recommendations to encourage purchases. Therefore, this research suggests that these retailers may employ restricted return policies to take advantage of the favorable effects on consumers' post-purchase product and to prevent returns, without losing significant sales and trials by consumers. Nevertheless, in practice, many of these retailers are offering lenient return policies, running the unnecessary risk of abusive returns.

In contrast, in-depth specialty stores and category killers compete on the depth of their merchandise assortment, which makes it necessary or desirable to provide concerted sales force assistance and recommendations to consumers. Moreover, specialty products often yield a mixed attribute performance, because they are designed for exceptional performance on selected attributes at the expense of performance on other attributes. This research indicates that, in these situations, consumers are apt to blame the retailers' poor recommendations rather than their own poor decisions for the negative product performance, and tend to evaluate the products more unfavorably under restricted return policies than under lenient return policies. Therefore, this research suggests that these retailers should use lenient return policies.

Conversely, the findings suggest that retailers should refrain from using aggressive recommendations during the pre-purchase phases if they need to implement restricted return policies. Incidentally, restricted return policies may be preferable to retailers if products physically disappear once consumption begins, run high risks of retail borrowing for temporary uses or illegal reproduction, or are customized or personalized (Sherry, McGrath, and Levy 1992). Similarly, many service providers put restrictions on their refund policies because many services cannot be completely reversed or undone once they have been delivered and the labor and time the provider has expended cannot be recovered.

Regarding the relevance of this research, however, a few caveats must be noted. First, the topic of this research may not be relevant in some retail contexts. For instance, purchasing groceries typically does not involve consumer-sales force interaction and return policies are of little concern. However, the diversity of the products recalled in Study 2 and the growth of the service sector where the providers' recommendations and return policies are highly relevant and salient attest to the relevance of this research to a wide range of contexts. Second, implementing restricted return policies with no recommendation may impact the pre-purchase decision phase so significantly that no purchase may occur, especially if products are new to the market, have a history of erratic or questionable qualities, or are high in experiential or ambiguous attributes. However, even in these cases, the effective use of promotional incentives may induce purchases in the absence of recommendations. Likewise, offering generous warranty policies to complement the restricted return policies may reduce the perceived risks of purchases. Finally, when determining recommendation and return policies, the policies' impacts on profits are more important criteria that retailers use than how they affect consumers' post-purchase product evaluations. However, to the extent that post-purchase product evaluations affect actual product returns

and future purchases, the findings of this research may be useful to retailers in setting their policies.

Limitations and future research questions

While this research provides interesting theoretical and practical insights, it also has some limitations. To begin with, this research does not consider the effects of other marketing mix variables that may interact with retailers' return policies to affect consumers' post-purchase counterfactual thinking and product evaluation process. For example, generous warranties retailers offer to complement restricted return policies may facilitate recruitment of certain desirable counterfactuals such as "It could have been worse if the warranty did not cover the problem." Similarly, allowing customization or personalization of products at the time of purchase (e.g., engraving names, alteration of clothes, attaching custom-made accessories, etc.) can make the products more personally relevant and make the purchases less reversible. Then, consumers are more likely to recruit downward counterfactuals deliberately during the post-purchase evaluation process, if the products perform negatively. Retailers' merchandizing decisions may affect the perceived closeness of forgone alternative outcomes and, thereby, affect the availability or accessibility of different counterfactuals. Therefore, studying the interactive dynamics of retailers' return policies and other marketing mix variables will be interesting.

In addition, retailers can provide recommendations for purchases in varying degrees of aggressiveness and salience to consumers. That is, a salesperson can offer recommendations using obtrusive hard-selling techniques or using subtle hints. Furthermore, retailers can provide recommendations using various indirect and non-personal methods, such as POP displays, special shelf spaces, price discounts, bundling, and other sales promotion tools. These indirect or non-personal forms of recommendations may interact with the retailers' return policies differently. Therefore, this research is limited in that it tested the moderating effect of salespersons' direct recommendations only.

Furthermore, this research is limited to the evaluation of products based only on their past and present performances, which had already been observed. However, consumers may also evaluate how products may perform in the future, when making return-or-keep decisions immediately following the initial post-purchase evaluations. Incidentally, retailers' recommendations and return policies can affect consumers' predictions of future product performance as well. For instance, consumers may predict that the products will perform the same way they have been and make the return-or-keep decisions accordingly under lenient return policies. In contrast, they may predict that the products will perform better in the future in order to justify their continued possession of the products under restricted return policies, especially when no recommendation influenced the purchases. Hence, future research that examines the effect of return policies on how consumers predict future product performance will be interesting.

Finally, the method of collecting verbal protocols by asking the participants to write down their thoughts might have negatively affected the numbers of counterfactuals collected in the studies. Compared to the alternative method of just saying the thoughts aloud, writing down thoughts is more time-consuming and may have been even interruptive to the flow of the participants' thinking process. However, this suppressive effect must have occurred, if it did, equally across all conditions. Because the additive or subtractive errors in measurements that occur to the same degree in all conditions do not seriously hamper the validity of statistical inferences about the differences of means across the conditions (Viswanathan 2005), it should not have significantly affected the results reported in this article.

Appendix A. A sample of scenarios used in Study 1

※ Please read the following purchase scenario carefully. While reading the scenario, **try to think as if you were the person who is making the purchase decision** and **write down any thoughts that come to your mind** while reading the scenario on the separate sheet enclosed in the envelope.

A Dress Suit Purchase for Job Interviews

You are going to a discount dress suit store located in a local mall to shop for a new dress suit you want to wear for upcoming job interviews. You browse a few dress suits in the stores and try on a handful of suits. Now you have come down to a choice between two particular dress suits, A and B, but you are not quite sure which one to buy. Incidentally, the store will accept returns only if the suit is defective.

You think that suit A's cut makes it feel very comfortable on you and its fabric and stitches make you look sophisticated but not too flashy or trendy in it. On the other hand, you think that suit B's cut will make you look sharp and fit in it and its fabric and stitches make you look classy and conservative but not too dull or boring. The two suits are from a same brand and priced the same.

While you are deliberating, a salesperson approaches you. The salesperson recommends that suit B may be a better investment in the long-run because it will work better for daily uses after the interviews. Finally, you decide to buy suit B following the recommendation.

Now you take the suit home, try the suit on again and move around in it a bit. You like its style and its cut makes you feel quite comfortable in it. However, you now think that the color of the suit doesn't look as nice as it looked in the store and the fabric doesn't feel as soft as you thought in the store.

Appendix B. A sample of purchase episode recall instructions

- Please take a moment to think of a product you purchased about a month to an year ago that meets all of the following criteria:
  1. The product or services must have yielded some good outcomes that you liked and some bad outcomes that you disliked.
  2. You were able to and did return the product because of a lenient return policy.
  3. You purchased the product or service based on your own decision.
- Now, please tell us about the purchase episode in more detail. The more you tell us about the situation, the more helpful your answer will be for our study.
  1. What was the product or service you purchased?
  2. Approximately how many months ago did the purchase occur? _____
  3. Approximately how many alternatives did you consider before you made the purchase?
  4. What were the good outcomes the product brought about that you liked? Please describe in as much details as possible.
  5. What were the bad outcomes or the problems the product brought about that you disliked? Please describe in as much details as possible.
  6. In what way did the salesperson influence the purchase?
  7. Were you able to return the product? If not, please explain why you were unable to return it.
  8. What do you think about the product right now? Please write down as many thoughts about the product as they come to your mind.
  9. In retrospect, do you think that you might have had a different result with your purchase had anything during the course of the events that you just described been different? How? Please write down as many thoughts as possible as they come to your mind.

Appendix C. A sample of counterfactuals collected in Study 1 and Study 2

(a) Upward counterfactuals

- Maybe I wouldn't have these problems if I had bought the other suit.
- The salesperson should have recommended a better suit than this.
- I shouldn't have listened to the salesperson.
- I would have made a better decision myself, if the salesperson had not pushed me.
- I should have done more research. I might have bought a better phone.
- If I had bought X-box instead of PlayStation2, I would be enjoying my games more.
- If I had asked for a sample and tried it before I bought it, I would have bought another type that better works for my skin type.
- A different brand of shoes would have lasted longer than one month.
- I should have told the guy (a telemarketer) I wasn't interested or just hung up. Then I wouldn't have to deal with it now.
- I think I would have had better luck if I had bought the (paintball) gun at a retail store instead of a pawn-shop.
- I should have waited longer for other manufacturer's computer to go on sale, so that I could buy a better product at the same price.

(b) Downward counterfactuals

- I probably would have the same problems even if I had bought a different suit.
- These are minor problems. The other suit might have bigger problems.
- I still think I made the right decision. All other suits would have looked and felt a little different in the store and at home.
- If I have bought a better stereo, it would have worked better but I would have had to spend much more money to get a better one.
- Very few stores sell lined pants. So if I hadn't bought it, it would have been very difficult to find one.
- I would have been worse if I got the other brand because my jacket was awesome . . . exactly what I wanted but only a little too big.
- I think all cable companies are the same and I probably would have had a similar problem with another company.
- I don't think I would have a better result. The PC I purchase was one of the best on the market.
- I could have picked the other discman/walkman, but I think I would have wanted this one eventually and had to exchange it for this one anyway.

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